INDIAN ECONOMY

LEVEL II

LECTURES

WHY INDIA COULD NOT BECOME VIBRANT MANUFACTURING POWERHOUSE EVEN AFTER THE ECONOMIC REFORMS OF 1991?

MODULE - 13

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THOUGHT PROCESS OF POST – 1991 ECONOMIC REFORMS

WASHINGTON CONSENSUS WAS THE SCHOOL OF THOUGHT!

1. India embraced the policy paradigm of the Washington Consensus.
2. Openness to trade and investment and reduction of the role of the State in the economy are the main traits of Washington Consensus.
3. The idea is that the State would try and take care of physical and social infrastructure and become a facilitator to improve the ease of doing business. The rest would be left to market forces.

PUBLIC SECTOR BECAME MORE LETHARGIC AND SLUGGISH BY 1991!

- Public Sector Undertakings in due course of time became inefficient and sluggish.
- Aggressive privatization was what reformers have wanted, but the political leadership has been cautious.
- Strengthening public sector enterprises has not been seriously attempted, in view of the past experience of 3-4 decades. Gradually, these have been declining.
- Some are so sick that by now asset sale is the only viable option.

PUBLIC SECTOR BECAME MORE LETHARGIC AND SLUGGISH BY 1991!

- The private sector displayed little interest in the heavy industries.
- It showed no appetite for technology upgradation.
- With entry of foreign corporations, most Indian private companies retreated into technology imports or collaborations.
- Even today, most R&D in India is conducted by PSUs and much of the smaller but rising proportion of private sector R&D is by foreign corporations in information technology and biotechnology/pharma.

Advanced technologies were simply bought from anywhere at lower costs. Many nascent R&D efforts like photovoltaics, semiconductors were abandoned!

WHY THE FOREIGN DIRECT INVESTMENT COULDN'T CREATE JOBS / COULDN'T RESULT IN TECHNOLOGY TRANSFER?

- There was a perception that, inviting Foreign Direct Investment in manufacturing would bring new technologies into India's industrial ecosystem. This was one reason, why the investments in the R&D ecosystem is also less in India.
- The experience shows that, mere setting up of manufacturing facilities is no guarantee of absorption of technologies.
- Moreover, foreign majors guard commercially significant or strategic technologies in off-shore manufacturing bases.

- The manufacturing, in general, attracted much less FDI in comparison to services. Moreover, majority of the meagre FDI into manufacturing flowed into the brownfield sector. Hence, FDI could not create the jobs as expected in the manufacturing sector.

Self-reliance is possible through indigenous endeavor, including Research & Development!

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THERE ARE OTHER PROBLEMS TOO … WHICH PREVENTED INDIA BECOMING GLOBALLY COMPETITIVE ECONOMY!

- High real interest rates.
- Embedded taxes.
- Lack of Centre - State coordination.
- Asset price bubbles in land and difficulties in land acquisition.
- Higher energy costs due to cross-subsidization.
- Regulatory risk and uncertainty, sometimes by the Government and sometimes by the courts.
- Unskilled workforce with labor market rigidities.

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WHAT WAS THE FINAL OUTCOME?

- India badly missed out on the third industrial revolution, which comprises electronic goods, micro-processors, personal computers, mobile phones etc.
- This manufacturing ecosystem is through global value chains.
- It is incidental to note that, today, India is the world's second largest smartphone market. But, mostly it imports various components from countries like China, and then assembles and sell in the domestic market or export to other countries.
- Similarly, it manufactures only a small fraction of solar photovoltaic cells and modules currently used.

WHAT NEEDS TO BE DONE?

- Self-reliance will not happen by itself.
- Huge strides are required in R&D by both the public sector and the private sector.
- Industry-academia interaction with world class institutions is the need of the hour.
- Private sector delivery-oriented R&D could be linked to meaningful participation in manufacturing ecosystem.

- Meagre public expenditure on education should be ramped up substantially. No country has achieved self-reliance without mass quality public education.
- No country has developed without a much stronger public health system than what we have in India.

It is up to the Govts. to tread the path and it is the time to walk the talk. Otherwise, we may miss the Fourth Industrial Revolution also!

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For Suggestions:
suggestions@learningspace.in

To Contact us:
info@learningspace.in

For Information:
info.learningspacedigital@gmail.com

Visit us at:
www.learningspacedigital.com
98499 42299